Module 10 Business and Company Law

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

<u>WRITTEN QUESTIONS</u> (Total: 100 marks)

<u>Answer 1(a)</u>

The question required candidates to explain discharge of contract.

There are four ways to discharge a contract: by agreement, by performance, by breach and by frustration.

Contracts can be discharged in the following ways:

(i) Discharge by agreement: The parties may agree to end the contract by mutual agreement.

(ii) Discharge by performance: The contract may be discharged when both parties perform their obligations. Except for minor defaults, performance must substantially correspond with what the parties have agreed.

(iii) Discharge by breach (repudiatory and anticipatory): Where a party fails to perform the contract, the innocent party may be able to terminate/ rescind the contract (if there is a breach of condition or fundamental breach of innominate term which will deprive the innocent party of the entire benefit of the contract) and/ or claim for damages.

(iv) Discharge by frustration: Frustration is a change of circumstances after a contract was made that renders the contract impossible to be carried out. Four conditions must be satisfied for frustration to discharge a contract:

- an unforeseeable event which is out of the expectations of the parties;
- that is no fault of either party and must not be self-induced;
- that makes performance impossible, e.g., death of a party where personal performance is necessary or destruction of the subject matter of the contract as in *Taylor v Caldwell [1863] 3 B&S 826*; and
- where it is deprived of its commercial purpose or radically different from that agreed, as in *Krell v Henry [1903] 2 KB 740*.

At common law, where one of the parties fails to perform his/ her side of the contract, the innocent party may be able to sue immediately for actual and repudiatory breach. For anticipatory breach (breach anticipated before the due performance date), the innocent party may wait and see until the due date or sue immediately for breach of contract.

At common law, where there has been frustration, both parties are released from their obligations under the contract and neither party may sue for breach of contract. No further obligations are enforceable and the parties shall bear their own losses.

In this case, the contract can be discharged by agreement, by performance, by breach, or by frustration, as the case may be.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Law Amendment and Reform (Consolidation) Ordinance (Cap.23).

Answer 1(b)

The question required candidates to analyse the nature of contract terms, i.e., conditions, innominate terms or warranties (in part i) and whether Amy and Betty were in breach of the contracts they had respectively entered into with Davy (in part ii).

Answer 1(b)(i)

There are three terms of contract: condition, innominate term and warranty.

(i) A condition is an important term of the contract. The innocent party is entitled to rescind the contract for the other party's breach of condition.

(ii) A warranty is a less important term of the contract. The innocent party is only entitled to claim for damages for the other party's breach of warranty.

(iii) An innominate term is an intermediate term between condition and warranty which does not automatically discharge the innocent party from its obligations under the contract or entitle the injured party to damages. A court must evaluate the seriousness of the breach.

In *Hong Kong Fir Shipping Co Ltd v Kawasaki Kisen Kaisha Ltd [1962] 2 Q.B. 26*, a ship from Hong Kong Fir Shipping Co Ltd was chartered to the defendant Kawasaki for two years. However, the ship was in a shipyard for repair for 20 weeks out of the two years.

Kawasaki repudiated the contract for a breach of a condition. The issue was whether it was a breach of condition or a breach of a warranty. It was held that it was a breach of an innominate term. An innocent party could only repudiate the contract if the consequence of the breach were very serious, and that 20 weeks out of a two-year contract period did not substantially deprive the defendant of the whole benefit. Therefore, Kawasaki wrongfully repudiated the contract.

For Amy, she paid the rent late by a few days twice, which is a breach of a less important term of the contract. In this case, Davy (i.e., the landlord), the innocent party, is only entitled to claim for damages.

As the term has only two more months to go, Davy may wait for two months and then discharge the contract by performance.

For Betty, she failed to pay the rent for the last few months, which is a breach of an important term/ condition of the contract. As such, Davy, the innocent party, can sue Betty for breach of a condition of the contract and is entitled to rescind the contract.

Answer 1(b)(ii)

At common law, there are two remedies for breach of contract: rescission and damages. The remedies for breach of contract may vary, where there is a breach of a condition or a fundamental breach of an innominate term and the consequence of which is very serious, the innocent party is entitled to treat the contract as repudiated, accept the repudiation, and treat the contract as an end or terminated. For breach of a warranty, the innocent party is only entitled to claim for damages.

In this case, the remedies to Davy (i.e., the landlord) depend on the nature of the term breached and the consequences of the breach of that term.

Answer 1(c)

The question required candidates to analyse the discharge of contract by frustration and its consequences.

A contract can be discharged where some supervening event, which is outside the control of the parties, makes performance of the contract: (i) impossible, e.g. where the subject matter of the contract is destroyed; (ii) illegal, e.g. because the law changes; or (iii) something radically different from what was originally envisaged by the parties, that is, where the supervening event makes the common purpose for which the contract has been entered into no longer achievable. In any of these circumstances, the contract is said to be frustrated and will automatically be discharged regardless of the intention of the parties. The contract is discharged and the parties are released from their obligations under the contract and neither party may sue for breach of contract.

For Candy, Property C was destroyed by fire. The contract was discharged by frustration if the fire was unforeseeable, and neither Davy nor Candy was at fault.

In any event, it is also possible to terminate the contract by agreement of both parties (i.e., by Davy and Candy).

Answer 2

The question required candidates to analyse the passing of property in the goods and the passing of risk with a discussion on the statutory rules under s.20 of the Sale of Goods Ordinance (Cap.26) ("SOGO").

The issue is whether the contract is conditional and the goods are ascertained or not, and whether the title and ownership pass to the buyer at the time both parties make the contract under Rule 1 or 5 (s.20).

S.18 provides that where there is a contract for the sale of unascertained goods, no property in the goods is transferred to the buyer unless and until the goods are ascertained.

Their intention is gathered from the terms of their contract, their conduct, and the circumstances of their case under s.19.

S.22 provides that the risk of accidental loss lies with the party who has property in the goods.

If the parties' intention is neither expressed nor implied, the time at which the property in (or legal title to) the goods passes to the buyer will be determined according to specified statutory rules under s.20. S.20 provides that the ownership is transferred according to the following rules:

(i) Rule 1: If there is an unconditional contract for the sale of specific goods in a deliverable state, the ownership passes to the buyer at the time they make the contract.

(ii) Rule 2: If there is a contract for the sale of specific goods and the seller is bound to do something to put the goods in a deliverable state, the ownership is not transferred to the buyer until the act is done and the buyer is given notice that it has been done.

(iii) Rule 3: If there is a contract for the sale of specific goods in a deliverable state but the seller is bound to weigh, measure, test, or do something else to ascertain the price, the ownership is transferred to the buyer when the act is done and the buyer has notice that it has been done. It should be noted that this rule only applies to acts to be done by the seller.

(iv) Rule 4: If goods are delivered to the buyer on approval or "sale or return", i.e., a buyer is given possession of goods with the option of accepting them or returning them to the seller, the ownership is transferred to the buyer when:

- The buyer notifies the seller that he/ she accepts the goods, or he/ she sells the goods or otherwise acts as if he/ she was the owner of them;

- The buyer does not notify the seller of either his/ her acceptance or his/ her rejection, but keeps the goods after the date agreed for their return, or, if there is no such date, for an unreasonable length of time.

(v) Rule 5: Where there is a contract for unascertained goods or future goods by description which comply with the contract description, are in a deliverable state and unconditionally appropriated to the contract with the assent of the parties, the ownership is transferred to the buyer.

In this case, the fabric was unascertained goods. The title and risk did not pass to the buyer, namely Banana Limited, at the time they made the contract. In other words, the title and risk remained with the seller, namely Apple Limited, until the goods have been unconditionally appropriated to the contract with the assent of the parties under Rule 5 (s.20).

If the fabric was ascertained goods, the title and risk passed to the buyer at the time they made the contract under Rule 1 (s.20).

Note: Unless otherwise stated, the references to the above provision(s) are made to the Sales of Goods Ordinance (Cap.26).

Answer 3(a)

The question required candidates to analyse the tort of negligence and vicarious liability.

There are three persons who may be liable for the accident:

Christopher as a tortfeasor shall be liable and his employer Alpha Construction Limited is also liable for the accident under the doctrine of vicarious liability. David may also be liable under the doctrine of contributory negligence for deduction of the damages.

Christopher will be liable for negligence if David can successfully establish the following:

(i) Duty of care: Christopher as a tortfeasor owed David a duty of care;

(ii) Breach of duty: Christopher had been in breach of the duty of care with no proper care and attention;

(iii) Causation: David suffered injury or damage as a result of the breach of duty; and

(iv) Remoteness of damage: The injury and damage suffered by David were not too remote.

In *Donoghue v Stevenson [1932] AC 562*, Lord Atkin laid the foundation for circumstances under which the duty of care is to be imposed on the defendant. Lord Atkin established that everyone owes a duty of care to his neighbour. The duty of care is "to take reasonable care to avoid acts or omissions which you would reasonably be likely to injure your neighbour".

At common law, an employer is liable for the wrongful acts of the employees under the doctrine of vicarious liability if:

(i) The acts are done by the employee;

(ii) The employee committed the tortious acts; and

(iii) The acts are carried out in the course of employment.

As the accident occurred in the course of employment of Christopher, it is likely that his employer, Alpha Construction Limited, is liable vicariously.

In this case, David may claim against Christopher and Alpha Construction Limited for negligence and vicarious liability subject to the defence of contributory negligence.

Answer 3(b)

The question required candidates to analyse the defences available to Alpha Construction Limited and Christopher.

As David failed to wear a helmet despite the warning, he is partly liable for his own injury through his own negligence. The defence of contributory negligence may reduce the damages under s.21(1) of the Law Amendment and Reform (Consolidation) Ordinance (Cap.23) ("LARCO").

Based on the fact, David may take a civil action against Christopher and the action for negligence is likely to be successful. However, there is a defence available to Christopher as David entered the construction site without wearing a helmet. Alpha Construction Limited may be liable under vicarious liability. There is also a defence of contributory negligence against David. If David as a claimant contributes to his own injury through his own negligence, he may not be entitled to full recovery of damages. The defence of contributory negligence may help reduce the degree of liability of Christopher leading to a reduction of compensation for David under s.21(1) of the LARCO.

In this case, David may claim against Christopher and Alpha Construction Limited for negligence and vicarious liability, which is subject to the defence of contributory negligence, and the amount of damages will be reduced.

Answer 4(a)

The question required candidates to analyse whether Alan played the role of a director of ABC Company Limited ("ACL") although he had not been formally appointed as one of the directors of ACL.

As Calvin was validly appointed in accordance with the articles of association and company law, he is a *de jure* director.

A *de jure* director is a director who is formally appointed and registered as a director with the Companies Registry.

On the contrary, Alan was not validly appointed in accordance with the articles of association and company law. However, he always presents himself as a director of the company to outsiders and third parties so he is a *de facto* director.

A *de facto* director is not formally appointed but carries out all the directors' duties and makes decisions as a director. A *de facto* director may also sign company documents and will be treated as a director by the other directors.

In addition, as Alan instructed his son, Calvin, to sign the contract and Calvin followed his instructions, Alan may be regarded as a shadow director. A person may be both a *de facto* and a shadow director at the same time.

A shadow director often acts behind the scenes, probably because he/ she cannot be formally appointed in accordance with the articles of association and company law. A shadow director is a person whose instructions and decisions the other directors accept and implement. Unlike a *de facto* director, he/ she may not carry out those actions himself/ herself.

In *Law Wai Duen v Boldwin Construction Company Limited and Chan Shiu Chick & Others [2001] HKCU 842*, the Court of Appeal held that all directors have the same responsibility in law as to the management of a company's business.

In this case, irrespective of whether a director is a *de jure* or *de facto* director, he/ she is subject to the same obligations under company law. Consequentially, Alan as a *de facto* and shadow director owes the same statutory and common law duties to ACL under company law.

Answer 4(b)

The question required candidates to analyse various issues including the validity of an objects clause of the articles of association and the common law *ultra vires* rule, the act of directors beyond authority of the objects clause, and the indoor management rule under common law and s.117.

A company must have articles prescribing regulations for a company under s.75. The articles of association are the constitutional document of a company which set out the basic management and administrative structure of the company.

In accordance with s.115(1), an objects clause is no longer compulsory. A company has the capacity, rights, powers, and privileges of a natural person of full age. Nevertheless, a company can still have an objects clause, and the general principle is that if a company does have an objects clause, then the company shall not do anything against it (ss.116(1) and (2)). However, what really matters is that an act shall not become invalid only because the act violated its objects clause (s.116(5)).

Under the common law rule, the capacity of a company is limited and restricted by the objects clause in its articles, if any. Under the *ultra vires* rule, an act done by the company beyond its objects clause shall be void. The act cannot be ratified by the members of the company even with unanimous consent. Therefore, this means that the company shall be incapable of performing an *ultra vires* act at all.

In *Ashbury Railway Carriage & Iron Co Ltd v Riche [1875] LR 7 HL 653*, the articles provided that its objects were to make and sell, or lend on hire, railway carriages. Ashbury Railway Carriage & Iron Company Limited initially agreed to give Riche a loan (which was beyond the objects clause), but later refused to give the loan to Riche. Riche sued for execution of the loan and the company pleaded the defence of *ultra vires*. The court held that the company was pursuing an act beyond its objects and would become *ultra vires*. It was further stated that an *ultra vires* was clearly against the written law and shall not be ratified even by the unanimous consent of the whole corporation; and an *ultra vires* is subject to the indoor management rule.

The common law indoor management rule (also known as "Turquand's rule") provides that outsiders are entitled to assume all internal regulations and procedures are complied with and thus outsiders have no duty to check any internal irregularity of a company.

In *Royal British Bank v Turquand [1856] 6 E&B 327,* it was held that the loan was valid despite of failing to comply with requirements of the ordinary resolution as prescribed by the company's articles of association and the bank had no obligation to check the internal procedures and affairs of the company.

The common law indoor management rule is now codified and governed by the Companies Ordinance (Cap.622).

The statutory indoor management rule is covered under s.117(1). In favour of a person dealing with a company in good faith, the power of the company's directors to bind the company, or authorize others to do so, is to be regarded as free of any limitation under any relevant document of the company.

A person is presumed to have acted in good faith unless the contrary is proved (s.117(2)(b)). A person dealing with a company is not to be regarded as acting in bad faith by reason only of the person's knowing that an act is beyond the directors' powers under any relevant document of the company (s.117(2)(c)). A person dealing with a company is not required to enquire as to the limitations on the power of the company's directors to bind the company or authorise others to do so (s.117(2)(d)).

It is also apparent that Calvin had breached the requirement of the articles and he had no authority to enter into this contract of HK$3,000,000 on behalf of ABC Company Limited ("ACL"). ACL may still be bound by the contract signed by Calvin if the outside party argues that Calvin was acting as the agent of the company in exercising his apparent or ostensible authority as a director. The general position is that the outsider has no duty to verify the internal affairs or regulations of the company under s.117(2)(d) and good faith is presumed under s.117(2)(b).

In this case, the contract made by Calvin may still be binding on ACL, even though it may be *ultra vires* (beyond the objects clause of the company) and Calvin may have acted in breach of his authority, based on the indoor management rule.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 4(c)

The answer would be different from part (b). Neither Turquand's rule nor s.117(1) applies to an outsider who acted in bad faith and knew (actual notice) or should have known or was suspicious of the internal irregularity of the company, e.g. *ultra vires* of the objects clause and a director's acting beyond authority as per the case of *Howard v Patent Ivory Manufacturing Company [1888] 38 Ch D 156*.

An *ultra vires* act may become invalid if the outsider has acted in bad faith and has actual knowledge of the objects clause. A person dealing with a company is not to be regarded as acting in bad faith by reason only of the person's knowing that an act is beyond the directors' powers under any relevant document of the company (s.117(2)(c)). S.120 states that a person is not to be regarded as having notice merely because the matter is disclosed in the articles and is public. It basically abolished the common law concept of constructive notice. Therefore, in order to argue that the contract is void on the ground of *ultra vires*, it must be proven that the outsider has acted in bad faith and has actual knowledge that the transaction is beyond the directors' powers and against the company's stated objects.

In this case, it is for ABC Company Limited ("ACL") to prove that the outsider has acted in bad faith and has actual knowledge of the objects clause and the limitations on the directors' powers as good faith is presumed under s.117(2)(b). If the outsider has knowledge of the objects clause and the limitations on the directors' powers, the contract made by Calvin may not be valid and binding on ACL.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Companies Ordinance (Cap.622).

Answer 5(a)

The question required candidates to analyse the four ways of agency creation.

Agency by appointment

This can be created by: (1) express appointment made orally or in writing or (2) implied appointment involving permission to act, even if permission is not explicitly established orally or in writing.

Agency by ratification

If a person acts as an agent without authority, the principal can ratify or confirm the contract subsequently. Ratification can occur when the agent acts outside the scope of his/ her known authority. The contract must be capable of ratification.

Agency by necessity

There must be a genuine emergency. It is impracticable to obtain the principal's instructions before the acts are done. The acts must be done in good faith. The acts must be done for the benefit of the principal and not only for convenience's sake. The agent must already be acting for the principal as an agent.

Agency by estoppel

This is an equitable principle. When (1) a principal has given certain representation (2) which has the effect of misleading any third party into the belief that (3) the agent has the principal's authority, the law would regard the agent as having apparent authority.

In this case, Raymond is an agent by the partnership contract and under s.7 of the Partnership Ordinance (Cap.38).

John is an independent contractor of the shop and an agent by estoppel as Raymond has allowed John to represent the shop to give discounts to foreign customers without denying his authority under the law of agency.

Answer 5(b)

The question required candidates to analyse the distinctions between employees and independent contractors.

The distinction between an employee and an independent contractor is based on the following three common law tests:

(i) Control test: This is based on whether the organization has exercisable control over the service-provider;

(ii) Integration test: This is based on whether the service-provider is part and parcel of the organization; and

(iii) Multi-factor test: This is based on the multiple factors of the service-provider in order to determine their relationships.

The multi-factor test is a mixed test which refers to the entire situation and is much wider than the control and integration tests. The multi-factor test is based on the perspective of mutuality of obligations.

The multi-factor test is preferable as it looks into various factors of the relationships between the parties including the elements of control, the title of the post, the benefit, and the remuneration packages etc.

In *Ready Mixed Concrete (South East) Ltd v Minister of Pensions and National Insurance [1968] 2 QB 497*, a lorry driver who delivered cement for RMC Ltd signed a contract as a self-employed contractor. He wore an RMC uniform and bought a lorry with the RMC logo from RMC Ltd on hire-purchase. He drove the lorry on RMC's business only for a certain number of hours per week and was paid based on the amount of cement delivered per mile and had to hire a replacement if he could not work. It was held that the lorry driver was not an employee but an independent contractor engaged on a contract for services.

In view of the above tests, it is likely that John is considered as an independent contractor as he has total control of his working time and has no holiday or sickness pay benefits from the shop.

In this case, John is an independent contractor, and Tim may claim against John for damages for monetary advantages taken from the foreign customers and shared with Raymond without the approval and knowledge of Tim in respect of John's breach of contract under law of contract.

<u>Answer 5(c)</u>

The question required candidates to analyse the possible bribery offence of Raymond and John accepting the monetary advantages as an agent for the shop.

The key bribery offence provision is set out in s.9, which addresses the bribery of "agents". The principal is regarded as the employer and the agent is regarded as the employee. S.9 is intended to prohibit conduct that may undermine the integrity of the "principal and agent" fiduciary relationship, such as any receipt by an agent of advantages from third parties without the principal's permission and secret attempts by third parties to corrupt or influence an agent.

It is an offence that anyone who, without lawful authority or reasonable excuse, offers an advantage to an agent (or, as an agent, solicits or accepts an advantage) as an inducement or reward or otherwise on account of the agent (not) performing an act or (dis) favouring any person in relation to his/ her principal's affairs or business.

An advantage is defined by s.2 as including, but not being limited to any gift, loan, fee, reward, or commission consisting of money or of any valuable security or of other property or interest in property of any description; any office, employment, or contract etc.

In this case, the monetary advantages to Raymond as a partner and as an agent of the shop and to John as an agent by estoppel of the shop without approval from Tim are within this definition.

Note: Unless otherwise stated, the references to the above provision(s) are made to the Prevention of Bribery Ordinance (Cap.201).

Answer 6(a)

The question required candidates to explain the roles of the Hong Kong Stock Exchange ("HKSE").

The HKSE became one of the subsidiaries of Hong Kong Exchanges and Clearing Limited on 6 March 2000. As a holding company, Hong Kong Exchanges and Clearing Limited is also listed on the HKSE (Stock Code: 388). The HKSE is one of the largest stock exchanges in the world in terms of market capitalization. The HKSE ensures its stock exchange is one of the leading ones in the world by regularly updating the requirements to keep the market in line with international best practices and to deal with specific market developments.

The HKSE is the only stock exchange in Hong Kong. Public companies may only offer their shares and trade them on the HKSE. The HKSE provides an open and fair platform for public investors and safeguards the interests of public investors and the general public via its rules and regulations.

The HKSE takes a leading role in regulating companies seeking entry into the Hong Kong market and supervises those companies once they are listed. The HKSE provides an efficient market for trading securities in Hong Kong and, as is reasonably practicable, ensures that Hong Kong securities markets are fair, orderly and informed.

The HKSE is set up to serve as the primary regulator of market participants with respect to trading matters of listed companies on the Main Board and Growth Enterprise Market. The HKSE ensures that market participants comply with the regulatory and compliance regime in Hong Kong which changes constantly as regulators update the Listing Rules. The HKSE monitors and enforces listed issuers' compliance with the Listing Rules.

Answer 6(b)

The question required candidates to describe the listing requirements under Chapters 3 and 8 of the Listing Rules of the Hong Kong Stock Exchange ("HKSE").

For the purposes of listing on the HKSE, only a public company may offer shares to the public for subscription. A private company is prohibited from offering shares for public subscription. A public company is a company that is neither a private company nor a company limited by guarantee.

Main Board Listing Rules requires that the company must satisfy a number of tests under Rule 8.05. The company must satisfy one of the below tests:

(i) Profit and market capitalisation tests;

(ii) Market capitalisation and revenue tests; or

(iii) Market capitalisation, revenue and cashflow tests.

In addition, there also needs to be a track record of at least three financial years, a continuity in management for the three preceding financial years and a continuity in ownership for the most recent audited financial year.

(i) The company shall attain the profit and market capitalisation tests, i.e., profits of at least HK$20/35* million in the most recent year and an aggregate of at least HK$30/45* million for the two preceding years; and market capitalisation of at least HK$500 million.

(ii) The company may meet the requirements by satisfying market capitalisation and revenue tests to have a market capitalisation of at least HK$4 billion and revenue of at least HK$500 million for the most recent audited financial year.

(iii) The company may also meet the requirements by satisfying the market capitalisation, revenue and cashflow tests: to have a market capitalisation of at least HK$2 billion, revenue of at least HK$500 million for the most recent audited financial year and positive cash flow from operating activities of at least HK$100 million in aggregate for the three preceding financial years.

[Note(*): Marks can be awarded for either old or new figures effective from 1 January 2022.]

In addition to the above tests, there must be a sufficient public float, i.e., there must be a sufficient number of securities being held by the public and there must be a sufficient spread of the securities. At least 25% of the securities must be held by the public, and there must be at least 300 shareholders in total.

The expected market capitalisation at the time of listing to be held by the public must be at least HK$125 million. The expected total market capitalisation at the time of listing must be at least HK$500 million.

Under Rule 8.05A, as to the management continuity of the company, the directors and management of the new applicant should have sufficient and satisfactory experience of at least three years in the line of business and industry of the new applicant. The new applicant needs to demonstrate ownership continuity and control under Rule 8.05.

Moreover, there must be at least two executive directors who are ordinarily residents in Hong Kong under Rule 8.12. There must also be at least three independent non-executive directors ("INEDs") under Rule 3.10. The number of INEDs appointed must also represent at least one third of the board members (Rule 3.10A) and the appointment is subject to approval for character, experience, integrity and competence of directors by the HKSE.

In this case, Billy and Donald must understand the listing requirements and ensure their company satisfies the listing requirements under the Main Board Listing Rules of the HKSE before applying for listing.

Note: Unless otherwise stated, the references to the above rule(s) are made to the Main Board Listing Rules of the HKSE.

* * * END OF EXAMINATION PAPER * * *